19.04 Savings - Importance of Savings

The concept of savings plays an important role in economic development of any country. Saving is defined as the difference between income and consumption. In other words it points to sacrifies of some sort. Earning money may be easy; but using it in the right way as well as saving it for the future is pretty tough. Savings is important for each and every one of us to lead a peaceful life. Saving paves way for a happier future. "World Savings Day" was promoted all over the world to emphasis the value of savings. October 31 has been declared as the "World Savings Day" by the International Savings Bank Congress.

Following Points Highlight the Importance of Savings

Money invested in deposit account, small savings schemes, mutual funds, life insurance policies, Bonds of Government companies, shares etc. lead to overall economic development of a country.

1. Money invested in bank deposits facilitates employment generation in various sectors of economy and poverty alleviation.
2. The savings invested in bank deposits lead to credit creation in the country which in turn promotes industrial and agricultural development in a country.



"SAVE MONEY TO SAVE ALL"

3. Savings invested in government bonds and various institutions helps in great measure in building in strengthening the infrastructure facilities in a country.
4. The country with higher savings can easily face the consequences of economic recession.
5. The bad consequences of inflation can be met easily with strong savings. As a result the evil effect of soaring prices can be controlled.

19.05 Personal Investment Avenues

People invest the savings to gain financial security. They are investing their savings in a various investment avenues for various purposes. They may invest in various securities and wait for a stipulated period to get back their investments with higher value addition.

There are three aspects which need to be considered before investing the money namely liquidity, profitability, and safety. In other words some investments can be easily and readily encashed in the market without any loss. Such investments are called liquid investments, for example bank deposits, government bonds, mutual funds, precious metals like gold, silver, platinum etc. while certain other investments cannot be liquidated immediately but they may fetch higher returns at maturity. For example shares, real assets, debentures, public deposits, fixed deposits, money back insurance policies come under this category.

Commerce 16-25.indd 195 10/12/2022 16:33:15